In the original edition, I referred to Ampex as it was in 1953 and Elox in 1956 as examples of the huge-potential but high-risk companies that fall into the *C* classification. How have these companies done since? Elox, which was at 10 when the first edition was completed, is at 7⅝ today. In contrast, Ampex's market performance continues brilliant and demonstrates why once an outstanding management has proven itself and fundamental conditions have not changed, shares should never be sold just because the stock has had a huge rise and may seem temporarily high priced. In the discussion on research in Chapter Three, I mentioned that in the first four years following the offering of this stock to the public in 1953, it had risen 700 per cent. When I finished the original edition, it was at 20.* Today with sales and Earnings up dramatically year after year and with 80 per cent of today's sales in products that were not in existence only four years ago, it is at 107½. This is a gain of 437 per cent in just over two years. It is a gain of over 3500 per cent in six years. In other words, $10,000 placed in Ampex in 1953 would have a market value of over $350,000 today in a company with a proven ability to score one technical and business triumph after another.

Other situations with which I am less familiar but which might well fall in this category were Litton Industries, Inc., when its shares were first offered to the public, and Metal Hydrides. However, one characteristic of this type of company should be kept in mind from the stand-point of diversification. They entail so much risk and offer such prom-ising prospects that, in time, one of two things usually happens. Either they fail, or else they grow in trade position, management depth, and competitive strength to a point where they can be classified in the *B* rather than the *C* group.

When this has happened, the shares held in them usually have advanced so spectacularly in market price that, depending on what has happened to the value of an investor's other holdings during the period, they may then represent a considerably greater per cent of the total portfolio than they formerly did. However, *B* stocks are so much safer than *C* stocks that they may be retained in greater volume without sacrificing proper diversification. Therefore, if the company has changed in this way, there is seldom reason to sell stock—at least not on the ground that the market rise has resulted in this company representing too great a percentage of total holdings.